

1/12 - Circular flow

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PRODUCTION -> VALUE ADDED -> PRIMARY INCOME -> FINAL EXPENDITURE	
Conceptual identity: output = income = expenditure	
Measured difference: statistical discrepancy from sources/timing/revisions	
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2/12 - Production boundary

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Output - intermediate consumption = GVA	
Final use, qualifying own-account output, inventories and imputations enter	
Transfers, capital gains and old-asset value do not; current service margins can	
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3/12 - Territory and residence

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Domestic territory -> GDP/NDP	
Normal residence -> GNI(GNP)/NNI	
GDP + net primary income from abroad = GNI	
Personal current transfers belong to disposable income, not automatically GNI	
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4/12 - Gross and net

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GDP - CFC = NDP	
GNI - CFC = NNI	
CFC is estimated capital consumption, not repair cash or resource depletion	
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5/12 - Valuation bridge

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GVA basic + taxes on products - subsidies on products = GDP market prices	
Factor cost = basic price - other production taxes + other production subsidies	
Basic price != factor cost; product tax != every tax	
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6/12 - Aggregate ladder

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GDP -> +NPIFA -> GNI/GNP	
GDP -> -CFC -> NDP	
GNI -> -CFC -> NNI	
GNI/NNI -> +net current transfers -> GNDI/NNDI	
Per-capita NNI = NNI / population	
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7/12 - Expenditure route

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PFCE + GFCE + GFCF + stocks + valuables + exports - imports	
Imports correct the domestic boundary	
Government capex != GFCE; inventory inclusion != healthy demand	
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8/12 - Price-volume decoder

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Nominal = current prices; real = constant/reference prices	
Deflator = nominal / real x 100	
State level/share/growth, base year, period and vintage	
India 2026: fixed 2022-23 base; do not invent chain-linked headline GDP	
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9/12 - Indian measurement process

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NSO/NAD compiles using surveys + MCA21 + GST + government + RBI/sector inputs	
FAE -> SAE -> PE -> revised/final estimates	
2026 dates: 7 Jan 27 Feb 5 Jun; NAS publication 31 Aug	
State DES compile regional accounts with national guidance	
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10/12 - 2015 to 2026 methodology

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2015: 2011-12 base, GDP market-price headline, GVA basic, wider MCA21	
2026: 2022-23 base, activity segregation, annual unincorporated surveys	
Double deflation in agriculture/manufacturing; PPI/IIP/BkSPI; SUT integration	
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11/12 - Debates and limits

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Test MCA21 coverage/classification, deflator quality, proxy stability and transparency	
GDP misses distribution, most unpaid care, depletion and many quality changes	
Disaster reconstruction can raise flow GDP after wealth loss	
HDI/MPI -> Topic 2; green accounting -> Topic 25	
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12/12 - Exam spine

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PRELIMS: territory/residence -> gross/net -> basic/market -> nominal/real -> flow/stock	
MAINS: define -> formula -> named dated evidence -> mechanism -> qualification	
Verdict: GDP is the production anchor; use a wider dashboard for development	
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